

ACLS

ACLS N/A

Buy **\$155.55** ▼ **1.49%** 12M Price Target **\$175.00** 52-Week Range **\$55.93 – \$171.61**

Market Cap
\$4.78B

ACLS: Reiterate Buy; Power Device Demand Underpins Q1 Beat

WHAT'S CHANGED

- ACLS traded \$164.27 intraday 5/26 before reversing -5.3% over two sessions to \$155.55 on declining volume (306K vs. 539K prior), suggesting profit-taking near 52-wk highs (\$171.61) rather than fundamental deterioration.
- Simply Wall St. valuation piece (5/9) and post-Q1 earnings coverage continue to anchor narrative; no new SEC filings or insider activity in last 36 hours.

IMPLICATIONS

ACLS sits at 86% of its 52-week range after a sharp recovery from the \$55.93 low, indicating the market has largely repriced the SiC/power device cyclical trough thesis from late 2025. The pullback this week is healthy consolidation after the 5/26 spike, and with peer commentary (Kulicke & Soffa, Veeco, Micron) reinforcing a broader semi-cap recovery narrative, ACLS remains a high-beta way to play mature-node ion implant demand recovery. Absence of insider selling into strength and stable institutional sponsorship (Blackrock 16.1%, Vanguard 8.1%) supports the constructive setup.

VALUATION

At \$155.55, ACLS trades at ~6.6x EV/Revenue and ~22.5x forward EV/EBITDA on FY26E, a modest premium to the 5-year average reflecting recovery optionality but a discount to large-cap WFE peers (AMAT, LRCX at 25-28x EV/EBITDA). Our \$175 PT implies ~13% upside, derived from 7.5x EV/Sales on FY27E \$850M revenue, with multiple expansion contingent on confirmation of SiC power device order book inflection in 2H26. Downside to ~\$120 if memory/SiC capex slips into 2027.

KEY RISKS

- Silicon carbide (SiC) power device end-market (EV exposure) faces ongoing inventory digestion that could push recovery into FY27.
- Customer concentration in Asia (China mature-node) exposed to export control escalation.
- Mature-node implant TAM is cyclical; AI capex tailwinds primarily benefit leading-edge peers, not ACLS directly.

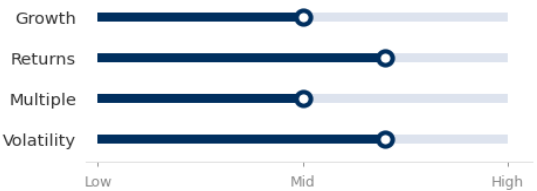
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Key Data

Price (USD)	\$155.55
12M Price Target	\$175.00
Upside / (Downside)	+12.5%
Market Cap	\$4.78B
FY2026E Revenue	\$720M
FY2027E Revenue	\$850M
FY2026E EPS	\$3.85
FY2027E EPS	\$5.20
Fwd P/E	40.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$170.00	\$158.00	\$142.00
6 Months	\$190.00	\$170.00	\$135.00
1 Year	\$215.00	\$175.00	\$120.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$380.00	\$280.00	\$130.00
10 Years	\$600.00	\$425.00	\$180.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+2.55% 5D), Cons. Disc. (+3.49% 5D)

COLD SECTORS: Energy (-4.77% 5D), Cons. Staples (-1.27% 5D)

ROTATION WATCH: Capital flowing from defensive (Staples, Energy) into cyclicals and growth as recession fears ease; semi-cap equipment benefits as a high-beta cyclical proxy.

BYPRODUCT PLAY: Electrification/EV recovery directly benefits ACLS's SiC implant franchise; secondary beneficiaries include Coherent (COHR), onsemi (ON), and Wolfspeed creditors if SiC fab utilization rebounds.

OUTPERFORMERS & PEER CONTEXT

- **KLIC** (Kulicke & Soffa): Multiple-growth-driver narrative gaining traction per Zacks; advanced packaging exposure outpacing legacy WFE peers.
- **MU** (Micron): HBM/AI memory demand driving outsized estimate revisions versus broader semi-cap group.

ACLS CONTEXT: ACLS has outperformed sector YTD, up ~180% from 52-wk low vs. SOX ~40%, reflecting catch-up from oversold trough. Near-term consolidation expected as relative momentum cools; peers with AI-leverage (KLIC, MU) may capture incremental flows ahead of ACLS until SiC inflection is confirmed.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$145-152 on pullbacks; add aggressively below \$140

Time Horizon: 12-18 months

Thesis Invalidation: SiC power device capex push-out >2 quarters or sustained gross margin <40%

Hedging: Pair short vs. AMAT or LRCX on relative valuation